extortion. There is then the risk of being trapped in the wrong equilibrium, as these incumbents would resist the creation of checks and balances.

A fledgling tax administration agency with a high tax rate and the power to raid will yield an ‘organizational rout’. [3] The agency will collapse into corruption and abuse of power.

In the field of customs duties, the ‘collected rate’ is customs revenue divided by the value of imports. In a perfect state, this should be exactly equal to the official tariff rate. In Pakistan, for goods where the customs rate is below 40 per cent, this broadly works out: the collected rate is near the official ad valorem rate. By the time we get to an official rate of 80 per cent, there is a gap of about 30 percentage points between the official rate and the collected rate. At a customs duty of 120 per cent, the gap rises to 70 percentage points. High tax rates induce a bigger failure in weak organizations. [4]

Once this organizational rout has taken place, there will be grave opposition against well-meaning reforms, by the insiders who are profiting from the abuse of state power.

High powers to obtain information, raid, arrest, imprison, and award draconian penalties are found all across the Indian policy landscape and constitute a serious problem. [5] A government agency should be given such powers only when it has achieved high levels of institutional capability. Swedish-style powers of electronic surveillance by an income tax agency can only be given to an income tax agency that has achieved Swedish levels of the rule of law.

For these reasons, it makes sense to legislate only modest coercion at the early stages of state capacity. In the early stages of development, the focus should be on building a competent organization featuring checks and balances and the absence of extortion. Only after this public policy knowledge has been mastered, can powers become larger.